the furor over CEO pay, very little angst has been expressed over investment manager pay, even though Steve Kaplan and Joshua Rauh of the University of Chicago suggest in a 2006 working paper titled 'Wall Street and Main Street: What Contributes to the Rise in the Highest Incomes?' that investment manager pay growth has probably exceeded CEO pay growth. My sense is that there is a belief amongst the public that many investment managers are following sophisticated investment strategies – in other words, that the managers are generating alphas and earning returns for their talents – hence their pay is not questioned.

Yet investigations of collapsed funds such as LTCM don't seem to indicate terribly sophisticated strategies – indeed more beta than alpha. While there is a selection bias in examining failed funds – they are likely to have more beta – it is also likely that large funds with unsophisticated strategies got to that size through a series of lucky bets that paid off. So their managers will have taken home enormous sums of money before it is realized that they had simply been gambling with other people's money. Large losses, 'greedy' managers, and an angry public – this is a perfect scenario for a muck-raking politician to build a career on. The regulatory impediments that could be imposed on the investment managers who add value, and on the financial sector as a whole, could be debilitating.

Third, and accentuating the political problem, is that while it is clear to the public how a bank making a loan benefits the real economy or 'Main Street', it is less clear to it how an investment manager who spreads and allocates risk, improves governance, or reveals information through his trading, helps. We economists know these are very important functions in the economy but they are not so easily sold politically.